T-12 OPERATING STATEMENT

Cedar Whitaker Rental Homes | Naperville, IL

Property	Cedar Whitaker Rental Homes
Period Ending	April 25, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	173 homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	455,594	415,782	406,995	419,641	416,036	420,644	401,195	459,939	460,255	445,288	454,968	432,944	5,189,281
4010 Loss to Lease	13,344	14,336	13,309	13,840	14,057	13,337	12,986	12,892	13,543	13,535	14,145	12,769	162,094
4020 Vacancy Loss	275,307	247,691	252,394	275,134	277,817	282,179	249,703	282,053	257,288	277,892	263,331	254,868	3,195,655
4030 Concessions	40,475	43,385	41,061	41,440	43,684	42,512	39,622	42,318	40,238	43,945	44,422	42,135	505,237
4040 Bad Debt	130,859	132,373	144,948	134,191	134,778	132,409	136,508	133,796	146,349	143,597	141,415	142,243	1,653,465
4050 Late Fees	36,876	39,355	35,985	38,659	35,373	37,538	36,002	39,457	40,080	39,251	37,428	36,979	452,983
4060 Utility Reimbursements	105,817	97,437	100,036	105,998	96,520	108,335	100,758	108,641	102,935	109,693	104,872	105,712	1,246,755
4070 Parking Income	367,855	341,213	384,017	380,752	340,734	366,543	358,411	384,049	361,462	386,380	380,212	366,673	4,418,302
4080 Application Fees	368,411	392,201	368,088	383,554	374,122	408,103	383,198	386,216	368,356	377,349	395,695	367,825	4,573,119
4090 Pet Rent	346,827	338,483	334,270	362,374	342,505	359,033	362,605	373,320	371,752	369,469	343,203	336,356	4,240,196
4100 Laundry Income	137,019	137,652	134,720	132,059	129,459	128,253	134,330	121,481	133,102	133,569	126,440	120,002	1,568,085
4110 Cable/Internet Revenue	262,493	261,685	260,749	262,387	251,851	283,205	256,935	282,359	254,557	256,703	284,508	251,081	3,168,513
4120 CAM Reimbursements	302,724	300,741	321,792	299,122	312,536	315,524	317,515	331,274	308,961	310,851	305,614	307,365	3,734,020
4130 Tax Reimbursements	187,302	209,666	202,071	207,089	205,248	200,560	205,565	188,213	199,321	209,399	196,635	207,862	2,418,930
4140 Insurance Reimbursements	320,969	333,820	336,936	337,506	339,688	340,139	319,743	335,774	337,104	323,757	306,221	302,892	3,934,549
4150 Percentage Rent	58,816	66,031	64,299	65,617	59,887	66,770	59,415	60,256	65,694	65,569	61,051	66,637	760,042
4160 Misc. Income	48,533	47,212	48,134	49,762	49,355	48,296	47,058	46,310	48,052	47,306	46,554	50,305	576,876
4170 Payroll - Management	12,629	12,338	13,647	13,314	12,681	13,053	12,661	12,900	13,606	12,302	12,202	12,731	154,065
4180 Payroll - Leasing	36,810	38,762	38,616	40,584	39,011	38,727	38,307	39,027	37,514	38,599	39,433	41,852	467,240
4190 Payroll - Maintenance	29,290	28,509	26,987	28,904	27,250	26,675	28,695	28,380	29,305	26,993	26,392	28,795	336,175
4200 Payroll Taxes & Benefits	6,217	5,633	5,563	6,107	5,689	5,589	6,081	6,068	5,719	6,079	5,706	5,913	70,364
4210 Repairs - Plumbing	42,334	40,952	40,797	40,718	44,161	41,252	42,378	42,069	40,688	42,704	41,218	46,351	505,621
4220 Repairs - HVAC	15,886	16,552	16,941	16,551	15,158	15,438	15,519	16,146	15,172	17,138	15,233	17,160	192,894
4230 Repairs - Electrical	54,570	53,140	50,849	50,402	52,109	49,495	54,820	48,266	49,881	50,339	49,516	47,772	611,159
4240 Repairs - Appliances	16,365	15,591	15,000	16,582	15,003	16,732	16,373	15,391	15,092	16,618	15,029	15,893	189,670
4250 Painting & Decorating	51,236	53,398	53,263	50,388	48,756	50,080	50,778	53,475	53,808	48,872	48,851	53,808	616,713
4260 Flooring	28,116	27,713	26,063	25,614	25,376	25,791	27,587	25,284	25,334	26,447	28,088	27,238	318,651

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	25,394	27,825	26,610	27,585	26,057	27,684	27,986	28,594	25,254	27,333	26,215	28,033	324,570
4450 Licenses & Permits	23,132	21,575	22,395	23,035	20,988	21,346	22,269	23,893	21,621	22,501	23,249	23,504	269,506
4460 Management Fee	36,335	34,416	33,463	37,320	34,932	34,262	35,982	34,054	33,868	37,786	33,610	36,678	422,706
4470 Property Insurance	45,674	48,759	45,600	45,853	47,873	44,595	46,457	47,501	50,917	48,763	49,007	48,467	569,466
4480 Real Estate Taxes	48,568	49,016	46,693	47,816	44,486	46,397	50,370	44,474	48,548	46,607	49,935	48,583	571,491
4490 Asset Management Fee	46,802	53,035	48,441	52,045	48,831	51,127	51,742	51,064	48,504	52,070	46,994	46,836	597,491
4500 Replacement Reserves	36,135	33,631	33,492	34,427	35,100	34,726	33,196	35,491	35,496	33,208	36,563	36,384	417,848
4510 Roof Repairs	22,876	21,873	22,413	24,428	24,622	24,842	24,549	23,038	22,286	22,944	22,079	21,754	277,705
4520 Parking Lot Repairs	46,884	48,332	46,081	47,444	46,202	51,222	50,278	45,905	47,945	48,299	47,085	47,683	573,360
4530 Signage	17,284	16,840	17,610	16,120	16,870	16,340	17,192	16,487	16,305	18,090	17,890	17,133	204,162
4540 Tenant Improvements	26,098	27,549	28,084	28,611	25,746	25,622	27,716	27,291	26,937	26,936	28,499	28,097	327,185
4550 Leasing Commissions	9,327	8,267	8,282	8,259	8,607	8,562	9,416	8,422	9,241	9,190	9,188	8,191	104,950
4000 Gross Potential Rent	442,173	416,704	451,326	411,362	456,934	402,483	406,183	430,339	419,017	428,594	407,662	438,365	5,111,141
4010 Loss to Lease	16,872	16,230	15,310	15,462	16,450	16,151	17,290	15,268	17,000	16,571	17,394	15,859	195,858
4020 Vacancy Loss	243,707	233,554	241,074	260,218	229,208	231,412	242,079	252,318	229,505	229,746	236,098	228,472	2,857,392
4030 Concessions	213,196	190,859	206,920	212,179	204,779	199,297	209,052	196,733	205,599	197,361	209,152	213,154	2,458,282
4040 Bad Debt	29,410	29,678	29,455	29,582	26,610	26,923	29,434	27,748	27,681	29,282	29,197	27,808	342,808
4050 Late Fees	144,192	141,768	134,191	135,276	150,322	145,229	137,030	147,516	144,664	153,202	152,706	134,314	1,720,411
4060 Utility Reimbursements	149,986	154,999	150,327	145,923	142,409	142,021	158,298	159,078	149,800	148,687	148,520	159,301	1,809,349
4070 Parking Income	323,503	338,080	328,179	340,038	327,541	326,843	344,441	315,187	327,678	345,156	323,892	326,843	3,967,379
4080 Application Fees	175,723	182,158	176,656	174,750	183,046	170,926	171,802	167,390	181,857	166,701	170,425	181,321	2,102,755
4090 Pet Rent	172,664	183,156	174,500	177,170	180,008	176,885	181,783	182,071	173,156	182,914	176,231	167,672	2,128,211
4100 Laundry Income	174,418	180,314	178,498	162,148	159,678	180,785	177,697	166,242	171,133	163,550	169,302	173,969	2,057,736
4110 Cable/Internet Revenue	234,549	223,975	240,375	225,726	232,373	220,398	220,947	229,480	223,245	219,291	222,816	237,824	2,730,998
4120 CAM Reimbursements	166,302	163,774	173,752	163,118	155,478	161,330	156,067	169,199	169,516	158,186	169,250	173,929	1,979,902
4130 Tax Reimbursements	64,456	70,478	67,053	64,591	71,560	69,273	65,176	66,120	62,748	70,852	70,652	63,015	805,974
4140 Insurance Reimbursements	70,430	64,970	66,550	69,676	70,775	67,189	65,780	63,953	67,638	64,164	68,272	66,581	805,977
4150 Percentage Rent	307,606	330,604	296,353	313,405	313,912	322,663	339,813	297,772	309,765	327,005	334,292	318,411	3,811,600
4160 Misc. Income	205,500	195,832	200,519	195,250	203,850	210,683	193,713	201,076	207,076	201,029	211,558	207,251	2,433,337
4170 Payroll - Management	47,619	46,094	47,572	43,061	44,048	42,662	45,839	47,564	46,311	46,816	45,632	45,875	549,096
4180 Payroll - Leasing	21,244	19,973	20,924	20,532	21,836	21,923	22,033	21,678	20,983	21,481	20,646	21,819	255,071
4190 Payroll - Maintenance	11,769	11,391	11,111	10,940	10,750	11,556	10,632	11,480	11,902	11,181	12,048	11,772	136,532
4200 Payroll Taxes & Benefits	12,047	12,817	12,005	12,092	12,648	12,798	12,917	12,798	11,863	12,701	11,728	13,069	149,481
4210 Repairs - Plumbing	24,340	24,859	25,439	23,983	24,144	23,903	27,392	24,430	26,393	25,673	23,867	27,134	301,556
4220 Repairs - HVAC	51,619	53,422	49,288	52,059	50,279	53,901	52,036	49,231	50,143	50,419	49,245	53,964	615,606
4230 Repairs - Electrical	34,713	32,422	32,618	36,747	33,184	35,892	35,189	36,058	34,782	32,894	34,031	35,376	413,905
4240 Repairs - Appliances	27,213	25,278	26,262	27,404	26,138	27,512	26,499	28,202	27,807	28,306	26,025	26,783	323,431
4250 Painting & Decorating	40,246	37,486	39,110	39,728	37,940	37,218	37,200	39,691	35,347	39,472	37,559	39,106	460,102
4260 Flooring	50,671	50,773	49,796	50,561	46,016	46,220	46,943	50,193	49,106	51,372	46,691	45,545	583,886
4270 Make-Ready / Turnover	23,269	24,824	23,438	24,485	23,492	22,239	24,237	22,979	23,953	22,192	22,092	22,734	279,933
4280 Landscaping Contract	21,415	23,840	21,157	23,498	23,693	23,991	22,339	21,308	22,022	22,461	23,461	23,706	272,892
4290 Snow Removal	50,729	53,075	49,058	51,658	48,543	51,287	48,377	53,457	48,400	48,405	48,377	52,120	603,487
4300 Janitorial	19,144	18,465	18,308	18,463	19,276	16,857	17,463	17,714	18,273	18,357	18,545	17,419	218,283
4310 Pest Control	19,819	19,896	21,454	19,435	19,530	20,841	21,759	21,659	21,432	20,674	20,847	20,870	248,216

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Income and Expense Review

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 7.00% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $350,000 per home, and the in-house maintenance team handles most work orders within 33 days. Homes average 1,701 square feet with average monthly rent of $1,845.

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $89,000 or approximately 14.16 per square foot, with real estate taxes representing the largest line item. Turn costs average $430,000 per home, and the in-house maintenance team handles most work orders within 6 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.49x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Homes average 1,701 square feet with average monthly rent of $1,845. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $331,000 per home, and the in-house maintenance team handles most work orders within 13 days. Service requests are tracked through a work-order system with an average completion time of 4 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 48 hours. Turn costs average $131,000 per home, and the in-house maintenance team handles most work orders within 28 days.

Valuation Discussion

Debt service coverage ratio was 7.89x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $307,000 per home, and the in-house maintenance team handles most work orders within 13 days. Homes average 1,701 square feet with average monthly rent of $1,845.

Turn costs average $409,000 per home, and the in-house maintenance team handles most work orders within 27 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,701 square feet with average monthly rent of $1,845. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period.

Property Operations

Collections for the period were 90.6% of billed charges, with bad debt of 3.6% of gross potential income. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

Turn costs average $402,000 per home, and the in-house maintenance team handles most work orders within 4 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Homes average 1,701 square feet with average monthly rent of $1,845. Turn costs average $258,000 per home, and the in-house maintenance team handles most work orders within 29 days. Operating expenses totaled $37,000 or approximately 35.81 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Effective gross income for the trailing period was $457,000, representing a 11.3% increase over the prior year. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $119,000 per home, and the in-house maintenance team handles most work orders within 18 days.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4380 Water & Sewer	21,330	19,949	21,358	21,018	21,316	20,489	21,738	20,119	20,017	21,227	20,615	20,591	249,768
4390 Telephone/Internet	18,506	18,968	19,170	19,348	18,850	17,545	19,754	17,772	19,496	19,516	19,619	17,590	226,134
4400 Advertising	36,139	39,853	36,480	38,511	40,465	36,306	39,574	37,239	36,200	39,728	39,552	38,099	458,147
4410 Resident Events	4,544	4,620	5,121	4,767	4,763	4,981	5,095	4,694	4,713	4,665	4,856	5,175	57,996
4420 Office Supplies	7,122	7,614	7,303	7,385	7,667	7,094	7,395	7,201	7,250	7,580	6,708	7,253	87,573
4430 Legal & Professional	6,946	6,464	6,911	7,041	6,808	7,040	7,075	6,814	6,941	6,924	6,540	7,014	82,517
4440 Accounting & Audit	39,981	43,917	41,742	44,019	40,071	38,916	43,637	41,381	43,669	43,257	39,851	39,024	499,466
4450 Licenses & Permits	25,871	25,555	27,593	25,595	26,412	25,440	28,375	26,580	26,117	25,994	27,167	25,606	316,305
4460 Management Fee	27,048	27,628	28,900	26,535	29,025	25,889	26,997	26,841	27,019	28,255	26,826	27,303	328,266
4470 Property Insurance	20,878	18,960	20,112	20,388	19,399	19,709	19,400	19,410	20,792	20,691	20,967	21,290	241,996
4480 Real Estate Taxes	41,770	43,130	41,956	42,438	42,937	44,398	40,159	43,436	42,966	40,670	40,870	41,718	506,449
4490 Asset Management Fee	5,820	6,136	6,083	5,890	5,744	5,905	5,913	5,782	5,771	5,577	5,538	5,703	69,862
4500 Replacement Reserves	15,996	17,548	15,662	15,730	17,489	16,975	16,102	16,602	16,471	16,855	15,977	15,466	196,875
4510 Roof Repairs	24,813	24,609	23,426	23,815	24,406	21,910	23,830	23,872	22,813	24,915	23,480	22,326	284,215
4520 Parking Lot Repairs	37,072	34,373	38,401	37,105	34,462	37,479	33,656	33,576	34,237	34,610	36,933	36,890	428,794
4530 Signage	42,876	43,558	46,908	44,982	42,500	45,057	43,772	44,115	46,216	44,350	44,065	47,088	535,486
4540 Tenant Improvements	6,100	5,554	5,439	6,115	5,766	5,911	5,942	6,128	5,699	5,495	5,734	5,690	69,574
4550 Leasing Commissions	18,528	18,156	19,809	18,858	19,402	19,961	18,482	19,622	17,765	17,893	18,678	20,138	227,292
4000 Gross Potential Rent	437,265	435,486	408,848	451,104	441,704	412,962	408,549	412,741	413,025	425,427	424,703	452,485	5,124,299
4010 Loss to Lease	43,903	42,914	44,124	43,223	46,420	48,058	44,233	46,338	48,598	42,877	47,208	44,135	542,030
4020 Vacancy Loss	353,403	325,244	341,213	359,412	338,184	325,635	354,456	356,354	331,238	325,426	347,132	333,787	4,091,484
4030 Concessions	13,914	15,555	14,958	15,254	14,697	15,286	13,982	14,332	13,895	15,036	14,334	15,027	176,270
4040 Bad Debt	144,244	155,826	157,557	160,804	149,850	152,653	163,902	159,077	154,110	143,560	163,774	153,115	1,858,470
4050 Late Fees	204,376	198,623	200,825	217,314	211,659	209,668	204,123	210,906	211,102	197,428	215,340	210,667	2,492,030
4060 Utility Reimbursements	260,191	261,833	274,516	254,391	258,194	256,375	241,693	249,356	260,122	258,368	273,438	250,744	3,099,220
4070 Parking Income	100,277	111,689	113,158	109,714	109,392	103,961	103,316	108,836	103,013	99,596	109,146	111,158	1,283,257
4080 Application Fees	94,711	96,026	96,067	95,371	89,745	85,177	87,000	88,110	90,436	89,631	86,348	93,841	1,092,461
4090 Pet Rent	288,234	296,178	285,550	314,907	300,260	305,041	314,630	308,619	316,686	307,518	292,297	300,794	3,630,713
4100 Laundry Income	94,791	92,116	100,961	89,396	98,693	96,382	95,879	90,156	99,938	99,140	93,522	90,559	1,141,535
4110 Cable/Internet Revenue	303,574	340,425	327,519	321,344	341,677	308,333	342,007	333,347	329,238	323,436	315,988	344,051	3,930,939
4120 CAM Reimbursements	21,513	20,996	22,371	20,611	21,357	21,083	21,322	21,095	20,632	21,968	20,938	20,404	254,290
4130 Tax Reimbursements	45,076	46,034	46,985	47,342	44,089	45,524	45,814	50,164	43,876	44,493	44,834	45,031	549,263
4140 Insurance Reimbursements	155,012	139,569	142,012	145,408	145,240	146,188	156,295	149,843	143,808	146,375	138,795	144,401	1,752,946
4150 Percentage Rent	390,823	355,620	400,803	359,665	390,350	358,912	382,509	366,984	364,438	376,859	385,618	352,311	4,484,892
4160 Misc. Income	181,834	190,801	191,672	188,476	205,242	192,939	195,235	195,829	181,280	181,598	199,305	183,495	2,287,705
4170 Payroll - Management	32,684	31,458	31,487	33,048	32,256	34,057	34,411	34,237	33,060	32,047	31,280	32,140	392,165
4180 Payroll - Leasing	24,220	25,547	25,591	23,467	26,043	26,566	24,921	24,171	26,439	23,456	25,897	24,536	300,853
4190 Payroll - Maintenance	36,890	34,524	37,982	37,488	35,517	35,594	34,191	34,890	37,930	35,596	36,902	37,920	435,423
4200 Payroll Taxes & Benefits	39,406	40,725	43,111	39,232	39,277	41,239	41,639	41,763	39,589	40,203	39,269	41,274	486,727
4210 Repairs - Plumbing	12,564	12,989	12,114	11,699	12,735	13,176	12,492	12,927	12,494	12,336	13,029	12,131	150,687
4220 Repairs - HVAC	23,956	24,793	25,013	22,862	24,492	24,212	23,085	24,257	24,093	24,293	22,769	23,321	287,145
4230 Repairs - Electrical	44,278	42,152	40,576	44,952	46,157	43,380	45,353	41,071	43,974	45,770	43,367	45,234	526,264
4240 Repairs - Appliances	15,871	14,552	14,706	14,566	15,859	14,954	16,222	14,624	15,795	15,509	16,236	15,820	184,714
4250 Painting & Decorating	36,632	40,080	39,724	38,909	37,972	38,046	37,095	39,000	39,699	38,714	38,325	39,839	464,034
4260 Flooring	26,706	26,490	25,219	27,057	26,623	28,572	25,652	26,733	26,504	27,704	27,622	28,094	322,976
4270 Make-Ready / Turnover	18,649	19,328	18,902	18,356	18,835	18,076	17,918	18,281	19,305	19,718	18,553	17,698	223,620
4280 Landscaping Contract	45,499	45,926	44,710	49,953	44,256	47,225	47,052	45,088	44,143	47,920	48,091	46,779	556,641

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. The going-in capitalization rate of 7.59% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $346,000 or approximately 41.50 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.96x on a trailing basis against a covenant minimum of 1.20x.

Homes average 1,701 square feet with average monthly rent of $1,845. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $458,000 per home, and the in-house maintenance team handles most work orders within 14 days. Operating expenses totaled $354,000 or approximately 26.79 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.2% of billed charges, with bad debt of 3.9% of gross potential income. Homes average 1,701 square feet with average monthly rent of $1,845. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Service requests are tracked through a work-order system with an average completion time of 28 hours. Turn costs average $44,000 per home, and the in-house maintenance team handles most work orders within 46 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $22,000 per home, and the in-house maintenance team handles most work orders within 42 days. Homes average 1,701 square feet with average monthly rent of $1,845. Operating expenses totaled $217,000 or approximately 28.45 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 8.19% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,701 square feet with average monthly rent of $1,845. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Service requests are tracked through a work-order system with an average completion time of 36 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,701 square feet with average monthly rent of $1,845. Turn costs average $259,000 per home, and the in-house maintenance team handles most work orders within 16 days.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.1% of billed charges, with bad debt of 4.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,701 square feet with average monthly rent of $1,845.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Debt service coverage ratio was 5.00x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $87,000, representing a 13.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Turn costs average $437,000 per home, and the in-house maintenance team handles most work orders within 40 days. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $295,000, representing a 10.6% increase over the prior year.

Management Commentary

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	25,792	27,489	26,831	26,182	25,719	28,774	28,181	25,412	26,960	26,110	27,194	26,146	320,789
4300 Janitorial	32,917	29,381	29,374	29,786	29,761	29,264	29,676	32,472	33,092	29,939	32,925	31,764	370,350
4310 Pest Control	15,537	14,604	15,978	15,473	15,585	14,240	14,197	14,658	15,994	16,013	15,450	14,746	182,474
4320 Trash Removal	24,503	25,770	24,819	27,593	26,073	27,266	27,931	27,015	26,233	24,602	26,877	26,432	315,114
4330 Elevator Contract	26,472	25,858	25,815	25,669	25,759	26,715	27,186	27,175	25,625	26,279	26,864	25,848	315,266
4340 Fire & Life Safety	8,408	7,702	7,793	7,924	7,692	7,816	8,142	8,223	8,495	7,788	8,324	7,992	96,298
4350 Security	6,188	6,597	6,320	5,948	6,225	6,359	6,279	5,958	5,892	5,817	6,076	6,353	74,012
4360 Electricity - Common	27,717	29,869	31,020	30,622	30,675	30,660	29,758	31,058	27,893	30,190	30,080	30,510	360,053
4370 Gas - Common	12,379	12,162	12,707	12,604	13,257	12,969	13,321	13,192	12,928	11,895	12,979	12,330	152,723
4380 Water & Sewer	21,603	19,333	21,250	20,447	20,454	20,229	21,372	21,170	21,834	22,049	19,346	19,480	248,567
4390 Telephone/Internet	28,983	28,487	30,637	31,766	30,138	30,357	29,875	31,014	28,970	28,336	29,021	30,458	358,042
4400 Advertising	48,475	43,360	43,807	43,809	42,787	43,624	45,425	46,175	42,800	43,829	43,884	44,884	532,858
4410 Resident Events	10,526	10,587	9,895	9,674	10,364	10,547	10,699	10,067	10,613	10,047	10,678	10,137	123,836
4420 Office Supplies	15,409	14,614	15,234	14,132	15,036	15,557	14,417	14,302	15,198	15,412	14,226	15,567	179,106
4430 Legal & Professional	16,511	18,181	17,982	17,112	17,703	16,405	17,162	17,306	16,721	17,537	16,691	16,501	205,812
4440 Accounting & Audit	36,101	38,801	36,080	37,700	35,208	39,527	38,409	39,598	38,159	38,805	40,162	38,635	457,186
4450 Licenses & Permits	42,705	39,848	39,432	41,963	40,442	44,128	44,464	40,092	41,692	41,184	39,679	40,805	496,434
4460 Management Fee	45,045	41,863	41,526	46,411	41,933	47,016	44,046	47,425	45,010	44,673	44,774	44,718	534,441
4470 Property Insurance	8,936	8,352	8,064	8,227	8,683	8,344	8,293	8,692	8,384	7,961	8,974	8,223	101,133
4480 Real Estate Taxes	15,207	14,624	14,875	16,331	14,908	15,032	15,831	15,205	15,485	14,864	14,623	15,923	182,908
4490 Asset Management Fee	23,028	22,804	23,043	21,114	21,626	23,404	21,836	21,298	21,895	22,681	22,506	20,923	266,158
4500 Replacement Reserves	26,101	23,626	26,643	24,740	24,622	26,037	24,343	27,056	26,696	26,178	26,319	25,390	307,751
4510 Roof Repairs	26,181	26,472	26,154	28,950	28,310	29,098	29,152	29,298	27,874	28,920	28,978	29,037	338,425
4520 Parking Lot Repairs	20,404	20,077	20,048	22,451	20,434	21,462	23,031	22,275	22,963	23,031	21,900	21,727	259,805
4530 Signage	20,166	22,437	21,260	20,612	21,472	22,327	20,708	23,123	22,074	21,421	21,739	22,076	259,414
4540 Tenant Improvements	19,192	19,577	19,578	20,911	19,291	20,869	21,586	20,473	20,495	19,182	20,450	21,667	243,270
4550 Leasing Commissions	19,724	21,180	21,228	21,518	21,287	20,953	21,512	19,804	21,389	19,475	19,334	18,737	246,142
4000 Gross Potential Rent	437,170	426,439	447,504	415,388	453,380	402,586	401,356	447,827	439,481	424,239	426,836	458,784	5,180,989
4010 Loss to Lease	330,292	322,624	344,705	345,292	344,174	344,816	363,015	347,431	340,272	343,146	330,566	359,514	4,115,848
4020 Vacancy Loss	254,047	257,777	271,197	278,437	280,084	278,191	282,637	265,961	260,771	265,183	284,605	254,223	3,233,112
4030 Concessions	324,711	307,806	307,632	300,910	301,050	299,834	308,109	329,880	326,918	307,157	319,774	306,550	3,740,331
4040 Bad Debt	372,125	351,388	372,647	351,773	340,258	330,369	344,513	358,769	372,072	333,433	354,016	364,733	4,246,095
4050 Late Fees	303,793	284,381	298,425	286,729	280,953	293,119	293,274	275,675	301,818	275,308	277,669	292,538	3,463,681
4060 Utility Reimbursements	130,431	129,338	126,559	142,801	145,034	128,733	138,263	140,221	137,896	135,261	135,538	134,410	1,624,485
4070 Parking Income	257,834	265,715	266,414	258,163	269,688	251,596	277,962	260,031	280,719	268,912	260,009	287,817	3,204,861
4080 Application Fees	333,446	316,341	342,761	319,999	340,056	327,707	330,668	334,315	317,254	338,263	338,724	335,057	3,974,592
4090 Pet Rent	113,174	113,876	122,122	122,309	114,236	124,425	116,578	127,986	113,612	126,831	127,962	120,357	1,443,468
4100 Laundry Income	109,352	113,311	112,732	109,714	112,434	114,570	105,429	114,093	112,138	117,562	112,784	110,677	1,344,795
4110 Cable/Internet Revenue	231,504	223,064	229,872	230,430	230,497	227,480	207,372	235,375	223,061	228,091	215,626	205,966	2,688,338
4120 CAM Reimbursements	131,904	131,709	123,058	127,151	133,556	121,360	128,670	126,411	133,909	135,423	120,272	134,354	1,547,776
4130 Tax Reimbursements	237,322	242,192	230,573	235,845	241,235	227,965	245,506	246,835	227,654	256,278	245,986	246,795	2,884,188
4140 Insurance Reimbursements	241,977	274,139	238,863	243,116	245,358	250,599	273,717	254,456	243,284	242,088	270,511	274,039	3,052,150
4150 Percentage Rent	384,937	395,412	371,947	398,348	396,062	369,414	375,471	401,552	376,826	374,725	398,995	406,541	4,650,230
4160 Misc. Income	66,080	65,636	73,468	72,403	74,462	67,458	71,957	75,336	66,584	68,863	72,807	71,885	846,938
4170 Payroll - Management	45,084	45,700	41,802	46,695	41,270	42,897	44,942	42,130	45,601	46,023	42,513	43,707	528,364
4180 Payroll - Leasing	4,984	5,532	5,356	5,473	5,473	5,203	5,552	4,986	5,573	5,272	5,266	5,223	63,892
4190 Payroll - Maintenance	20,532	20,328	21,492	21,448	21,353	21,219	20,152	21,354	21,492	21,624	21,355	20,669	253,019

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $318,000 per home, and the in-house maintenance team handles most work orders within 2 days. Operating expenses totaled $259,000 or approximately 23.04 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Effective gross income for the trailing period was $177,000, representing a 9.4% increase over the prior year. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Operating expenses totaled $268,000 or approximately 20.30 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.78% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Homes average 1,701 square feet with average monthly rent of $1,845. Service requests are tracked through a work-order system with an average completion time of 44 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $448,000 per home, and the in-house maintenance team handles most work orders within 9 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Service requests are tracked through a work-order system with an average completion time of 7 hours. Homes average 1,701 square feet with average monthly rent of $1,845. Turn costs average $257,000 per home, and the in-house maintenance team handles most work orders within 11 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Collections for the period were 95.3% of billed charges, with bad debt of 3.9% of gross potential income.

Income and Expense Review

Operating expenses totaled $67,000 or approximately 12.52 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Turn costs average $38,000 per home, and the in-house maintenance team handles most work orders within 14 days. Debt service coverage ratio was 7.33x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 5.17x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $83,000 per home, and the in-house maintenance team handles most work orders within 7 days. Homes average 1,701 square feet with average monthly rent of $1,845. Operating expenses totaled $72,000 or approximately 23.91 per square foot, with real estate taxes representing the largest line item.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 48 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Homes average 1,701 square feet with average monthly rent of $1,845. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Service requests are tracked through a work-order system with an average completion time of 32 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Turn costs average $248,000 per home, and the in-house maintenance team handles most work orders within 10 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Homes average 1,701 square feet with average monthly rent of $1,845. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Debt service coverage ratio was 6.83x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.31% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,701 square feet with average monthly rent of $1,845. Operating expenses totaled $223,000 or approximately 41.83 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $215,000 per home, and the in-house maintenance team handles most work orders within 34 days.

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Debt service coverage ratio was 7.15x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $74,000 per home, and the in-house maintenance team handles most work orders within 21 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	80,657	78,535	81,556	77,469	81,269	79,968	79,394	86,197	80,718	82,227	83,874	80,760	972,624
4130 Tax Reimbursements	21,168	21,126	22,991	22,659	22,646	21,703	22,383	20,380	22,610	20,335	22,604	21,442	262,045
4140 Insurance Reimbursements	321,684	351,535	328,357	354,908	350,288	330,620	344,790	314,553	355,592	332,819	328,774	341,118	4,055,038
4150 Percentage Rent	174,511	178,393	161,012	160,742	162,701	179,327	168,816	162,504	162,096	168,320	175,322	165,213	2,018,959
4160 Misc. Income	373,636	329,966	334,860	342,536	339,523	365,728	348,684	346,367	363,815	339,253	350,786	368,645	4,203,796
4170 Payroll - Management	36,746	37,933	36,989	38,212	37,604	39,079	40,075	38,465	35,710	37,018	35,332	39,446	452,610
4180 Payroll - Leasing	29,813	29,367	31,395	29,095	28,965	32,129	32,205	31,936	30,219	30,992	30,760	30,271	367,147
4190 Payroll - Maintenance	28,447	30,168	30,456	29,503	29,445	27,347	27,679	29,889	30,798	27,825	29,290	28,913	349,761
4200 Payroll Taxes & Benefits	24,239	26,527	27,243	25,081	27,205	25,126	26,590	24,404	25,992	26,708	25,525	26,408	311,047
4210 Repairs - Plumbing	35,023	34,108	31,358	33,861	32,118	35,417	32,241	31,783	32,568	35,216	32,810	32,466	398,970
4220 Repairs - HVAC	33,405	33,873	35,714	33,969	33,260	36,528	32,207	34,422	34,534	34,024	35,430	36,104	413,469
4230 Repairs - Electrical	11,384	11,923	11,631	11,394	11,915	11,900	12,081	11,226	11,064	11,803	11,467	11,185	138,973
4240 Repairs - Appliances	24,946	23,942	26,020	24,753	24,380	25,966	26,714	25,641	25,632	25,753	24,559	25,815	304,121
4250 Painting & Decorating	45,943	44,286	43,564	44,359	45,145	48,515	42,703	46,905	46,919	45,727	46,901	43,487	544,452
4260 Flooring	15,973	15,458	15,792	17,268	15,599	15,496	16,122	15,597	16,837	15,951	16,537	16,722	193,351
4270 Make-Ready / Turnover	18,892	17,994	17,095	18,115	17,031	19,479	18,770	19,491	19,301	19,070	19,174	18,455	222,867
4280 Landscaping Contract	23,608	20,800	22,201	21,949	21,553	22,400	23,392	21,229	20,916	20,863	23,722	21,056	263,688
4290 Snow Removal	18,977	17,319	18,067	17,798	17,186	16,826	17,719	17,564	17,878	17,484	18,779	17,216	212,815
4300 Janitorial	32,915	29,670	33,456	29,731	30,140	33,338	29,821	31,401	33,390	32,860	33,268	30,769	380,758
4310 Pest Control	12,104	12,799	13,272	13,296	13,177	12,298	12,663	13,009	12,457	11,941	11,787	13,221	152,022
4320 Trash Removal	14,101	15,035	15,603	14,672	13,845	13,834	15,558	13,989	13,906	15,056	15,739	15,536	176,874
4330 Elevator Contract	42,162	44,694	43,207	41,357	41,830	43,717	43,605	44,791	44,895	43,179	45,636	45,046	524,120
4340 Fire & Life Safety	25,154	25,224	26,079	26,043	28,188	26,340	25,528	26,796	27,722	27,275	28,232	26,392	318,972
4350 Security	17,163	18,301	18,039	18,524	18,538	16,600	17,260	17,178	18,261	18,420	16,824	18,052	213,162
4360 Electricity - Common	11,398	11,105	11,249	10,386	11,032	11,025	10,844	10,456	10,953	11,288	10,681	10,523	130,941
4370 Gas - Common	23,884	26,239	24,818	25,512	27,277	26,644	24,728	27,401	26,482	26,242	26,040	24,287	309,554
4380 Water & Sewer	5,871	6,080	6,119	6,011	5,690	6,044	5,531	5,958	5,398	5,445	5,679	5,504	69,330
4390 Telephone/Internet	51,099	52,744	49,612	52,211	48,393	48,384	48,341	50,703	53,654	52,731	49,414	52,046	609,332
4400 Advertising	29,124	27,513	28,829	28,248	28,886	26,833	25,368	28,831	28,459	26,473	25,402	27,171	331,137
4410 Resident Events	40,624	39,655	40,122	36,589	37,734	40,374	38,533	39,175	38,644	37,269	39,618	36,450	464,788
4420 Office Supplies	22,699	23,702	22,581	21,829	23,162	23,585	24,240	24,176	22,810	22,346	23,039	23,855	278,025
4430 Legal & Professional	43,909	45,525	44,795	43,633	46,352	41,960	42,900	47,283	45,507	45,255	45,527	45,913	538,559
4440 Accounting & Audit	22,530	22,884	22,577	23,532	23,610	22,866	23,303	22,850	24,924	22,739	24,032	24,114	279,960
4450 Licenses & Permits	21,651	21,547	20,868	22,792	20,563	20,316	20,253	20,019	21,959	21,288	20,357	22,148	253,761
4460 Management Fee	7,421	7,340	7,469	7,526	7,259	7,352	7,614	8,190	7,830	7,197	7,595	7,967	90,761
4470 Property Insurance	23,126	23,155	23,622	23,840	23,803	22,799	22,730	24,806	24,592	25,045	22,319	24,744	284,582
4480 Real Estate Taxes	21,284	21,283	19,537	20,540	19,652	20,366	21,402	21,095	20,383	20,983	20,291	20,689	247,506
4490 Asset Management Fee	37,301	37,549	39,181	39,320	38,288	39,849	42,065	40,274	37,808	39,644	37,958	37,917	467,154
4500 Replacement Reserves	50,292	49,935	47,633	51,853	51,435	46,647	47,345	45,771	46,600	52,122	52,195	51,816	593,645
4510 Roof Repairs	13,833	13,515	12,803	13,956	14,306	13,578	13,474	14,493	12,999	13,234	12,743	13,536	162,470
4520 Parking Lot Repairs	15,737	15,870	15,844	14,741	15,288	15,904	16,034	15,961	15,812	16,259	15,369	15,288	188,105
4530 Signage	10,714	10,616	10,922	11,766	11,173	11,771	11,466	10,801	11,685	10,986	10,332	11,024	133,257
4540 Tenant Improvements	29,219	30,183	30,369	28,137	30,973	28,556	28,353	29,313	29,821	29,102	28,490	31,254	353,768
4550 Leasing Commissions	24,181	24,082	23,257	24,692	25,586	24,076	25,238	23,563	24,775	23,522	23,000	25,491	291,463
4000 Gross Potential Rent	419,668	444,006	448,195	456,422	450,041	436,095	415,374	453,832	435,734	413,532	447,553	408,665	5,229,117

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Effective gross income for the trailing period was $44,000, representing a 6.4% increase over the prior year. Homes average 1,701 square feet with average monthly rent of $1,845. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 7.66x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $358,000, representing a 4.0% increase over the prior year. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Turn costs average $59,000 per home, and the in-house maintenance team handles most work orders within 41 days.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.0% of billed charges, with bad debt of 5.3% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 37 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Turn costs average $261,000 per home, and the in-house maintenance team handles most work orders within 45 days.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $344,000 or approximately 9.51 per square foot, with real estate taxes representing the largest line item. Turn costs average $279,000 per home, and the in-house maintenance team handles most work orders within 8 days.

Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $337,000 per home, and the in-house maintenance team handles most work orders within 42 days. Effective gross income for the trailing period was $145,000, representing a 9.6% increase over the prior year. Homes average 1,701 square feet with average monthly rent of $1,845. Debt service coverage ratio was 5.80x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 18 hours.

Collections for the period were 93.8% of billed charges, with bad debt of 3.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 45 hours. Turn costs average $415,000 per home, and the in-house maintenance team handles most work orders within 41 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Income and Expense Review

The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $410,000 or approximately 16.32 per square foot, with real estate taxes representing the largest line item. Homes average 1,701 square feet with average monthly rent of $1,845. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $103,000 per home, and the in-house maintenance team handles most work orders within 6 days.

Effective gross income for the trailing period was $168,000, representing a 8.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Debt service coverage ratio was 5.05x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $461,000 per home, and the in-house maintenance team handles most work orders within 29 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	25,321	27,755	29,078	29,043	25,985	27,115	26,673	28,308	29,081	27,772	28,969	25,850	330,950
4530 Signage	31,694	30,468	33,055	31,913	33,604	30,174	32,004	31,714	30,032	29,726	29,876	32,743	377,003
4540 Tenant Improvements	37,290	34,124	34,391	38,418	37,699	37,741	38,157	38,468	35,603	33,853	34,832	36,836	437,412
4550 Leasing Commissions	41,677	45,215	43,042	41,159	45,828	45,815	43,194	40,948	40,163	40,129	44,832	44,147	516,147
4000 Gross Potential Rent	427,397	411,756	419,977	421,573	420,525	404,454	404,317	428,040	401,273	439,170	401,157	448,547	5,028,187
4010 Loss to Lease	245,532	224,914	225,754	228,384	234,760	246,139	224,234	240,248	220,526	242,458	248,077	242,965	2,823,990
4020 Vacancy Loss	49,892	49,567	48,321	50,636	48,400	45,185	51,506	50,021	46,217	48,957	47,054	45,016	580,771
4030 Concessions	208,007	208,908	217,413	212,476	206,300	194,877	216,339	207,405	215,687	207,714	212,237	198,238	2,505,601
4040 Bad Debt	187,315	189,053	189,109	179,337	179,400	169,261	178,338	187,171	171,660	191,051	192,032	187,810	2,201,537
4050 Late Fees	147,068	131,797	146,481	143,941	143,742	142,738	134,788	135,515	133,794	131,135	141,298	147,417	1,679,714
4060 Utility Reimbursements	45,812	47,791	47,565	44,081	45,955	46,504	48,559	44,815	47,076	45,428	49,398	48,033	561,017
4070 Parking Income	298,518	282,666	293,038	284,387	291,340	308,846	313,175	309,495	298,802	302,534	312,832	277,958	3,573,589
4080 Application Fees	381,573	354,101	384,565	363,708	373,040	385,506	394,326	388,746	388,006	370,838	353,922	380,237	4,518,569
4090 Pet Rent	322,665	283,992	322,456	305,032	290,718	292,659	297,408	306,499	293,431	294,860	294,046	294,077	3,597,842
4100 Laundry Income	301,238	273,032	280,212	265,477	277,849	274,522	290,502	293,768	273,719	299,248	271,797	302,690	3,404,054
4110 Cable/Internet Revenue	230,196	227,633	236,816	225,536	229,645	239,403	230,289	253,390	242,896	252,094	257,315	231,687	2,856,903
4120 CAM Reimbursements	121,110	107,943	123,235	112,550	111,264	116,138	112,605	111,532	112,927	117,302	115,585	112,339	1,374,532
4130 Tax Reimbursements	268,972	266,505	270,150	273,684	302,861	277,679	298,010	291,189	288,494	268,873	292,849	269,907	3,369,172
4140 Insurance Reimbursements	35,363	38,123	36,135	35,383	36,514	36,028	35,540	39,603	38,013	39,212	34,529	34,973	439,416
4150 Percentage Rent	206,990	202,309	201,504	216,938	211,706	222,264	218,459	229,338	227,468	202,121	225,956	214,656	2,579,709
4160 Misc. Income	330,315	338,593	302,317	327,054	322,407	320,296	323,564	321,934	313,589	336,178	324,412	314,458	3,875,117
4170 Payroll - Management	10,567	10,262	10,854	10,021	10,179	10,769	10,730	10,166	9,589	10,940	9,692	10,469	124,237
4180 Payroll - Leasing	51,043	53,483	51,829	47,089	49,227	49,110	50,365	50,915	51,188	47,800	47,507	46,807	596,364
4190 Payroll - Maintenance	35,252	33,369	34,532	35,350	32,221	31,857	32,328	34,520	33,966	34,557	33,443	32,218	403,613
4200 Payroll Taxes & Benefits	5,886	5,626	5,703	5,943	5,897	5,834	6,052	5,520	5,500	5,963	5,471	5,504	68,899
4210 Repairs - Plumbing	27,052	27,368	26,186	26,454	25,289	26,516	25,351	28,035	27,530	28,030	27,001	28,390	323,202
4220 Repairs - HVAC	24,043	23,106	25,278	23,886	24,111	22,925	22,464	24,029	25,438	23,984	24,742	24,901	288,907
4230 Repairs - Electrical	16,050	14,963	14,140	15,044	15,129	14,954	14,218	15,913	14,247	16,004	15,458	14,795	180,916
4240 Repairs - Appliances	15,064	15,398	16,334	15,169	14,890	14,673	15,000	16,367	15,628	14,916	14,800	15,562	183,800
4250 Painting & Decorating	49,713	46,981	51,153	49,087	47,366	51,257	49,100	52,695	46,057	47,112	50,972	49,310	590,804
4260 Flooring	27,527	26,059	26,085	27,418	24,703	26,885	25,244	24,669	25,831	24,043	25,468	27,579	311,510
4270 Make-Ready / Turnover	10,480	10,705	9,759	10,646	9,930	10,168	9,692	10,112	10,529	10,040	10,070	10,447	122,576
4280 Landscaping Contract	25,121	27,227	28,085	26,190	26,846	28,496	27,387	27,826	25,601	25,847	27,783	24,833	321,243
4290 Snow Removal	51,455	54,120	48,573	49,422	54,447	50,635	54,581	49,637	49,882	48,075	54,212	52,879	617,917
4300 Janitorial	46,953	47,580	49,697	48,727	46,508	48,140	50,154	46,676	48,893	47,819	48,554	44,546	574,244
4310 Pest Control	24,720	22,438	23,484	22,821	22,358	23,622	24,047	23,457	22,896	22,703	24,714	25,234	282,495
4320 Trash Removal	11,292	12,624	12,704	12,240	11,173	12,715	11,725	12,702	11,897	11,508	11,635	12,390	144,605
4330 Elevator Contract	22,147	22,992	21,080	22,979	22,051	21,696	21,333	23,227	23,266	21,990	21,181	23,552	267,494
4340 Fire & Life Safety	6,532	7,007	6,453	6,848	7,297	7,077	6,615	7,221	6,985	6,782	7,228	6,947	82,994
4350 Security	39,591	38,954	37,285	39,183	35,862	39,339	36,236	35,944	40,227	37,557	36,969	37,765	454,910
4360 Electricity - Common	11,223	12,134	11,791	11,377	11,703	10,964	10,816	11,638	10,813	11,502	11,308	11,355	136,622
4370 Gas - Common	41,524	37,305	37,308	40,057	40,256	38,152	39,403	37,497	41,268	41,838	40,961	40,188	475,757
4380 Water & Sewer	13,783	14,158	14,354	13,850	14,898	13,340	14,920	13,655	13,165	15,003	14,116	13,502	168,743
4390 Telephone/Internet	35,397	35,946	33,893	35,268	36,511	34,383	38,014	34,580	37,323	34,086	35,776	34,111	425,287

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Financial Analysis

Homes average 1,701 square feet with average monthly rent of $1,845. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.08x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $45,000 per home, and the in-house maintenance team handles most work orders within 27 days.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,701 square feet with average monthly rent of $1,845. Debt service coverage ratio was 5.64x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $288,000 or approximately 21.46 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $110,000, representing a 2.4% increase over the prior year.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 11 hours. Homes average 1,701 square feet with average monthly rent of $1,845. Collections for the period were 96.5% of billed charges, with bad debt of 3.7% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $247,000 per home, and the in-house maintenance team handles most work orders within 15 days. Service requests are tracked through a work-order system with an average completion time of 18 hours.

Operating Performance

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 7.18% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Homes average 1,701 square feet with average monthly rent of $1,845. Effective gross income for the trailing period was $228,000, representing a 13.9% increase over the prior year.

Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $216,000 or approximately 45.18 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 45 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Collections for the period were 95.6% of billed charges, with bad debt of 6.6% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Collections for the period were 90.5% of billed charges, with bad debt of 6.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Turn costs average $122,000 per home, and the in-house maintenance team handles most work orders within 41 days. Service requests are tracked through a work-order system with an average completion time of 48 hours. Homes average 1,701 square feet with average monthly rent of $1,845.

Financial Analysis

The going-in capitalization rate of 5.56% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.51x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $116,000 per home, and the in-house maintenance team handles most work orders within 25 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $171,000, representing a 8.1% increase over the prior year.

Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Homes average 1,701 square feet with average monthly rent of $1,845.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	51,444	54,819	48,805	51,072	52,833	50,619	54,234	49,566	52,619	49,745	53,708	52,564	622,029
4530 Signage	25,520	27,129	25,601	25,577	28,321	26,718	26,319	26,321	25,813	25,707	26,992	26,515	316,535
4540 Tenant Improvements	37,493	38,891	36,055	37,985	38,654	36,125	38,769	38,380	40,712	36,635	37,641	39,786	457,128
4550 Leasing Commissions	29,094	29,203	27,762	27,201	27,388	28,156	29,948	27,121	29,293	27,958	28,084	27,462	338,670
4000 Gross Potential Rent	448,017	415,008	437,440	445,499	412,775	427,060	454,968	425,828	451,399	427,971	421,412	447,011	5,214,387
4010 Loss to Lease	362,832	385,558	377,426	356,784	355,776	352,968	357,618	371,609	338,726	337,541	378,309	367,589	4,342,735
4020 Vacancy Loss	198,305	175,473	176,992	194,010	194,029	195,811	199,195	183,607	176,223	181,174	189,757	192,910	2,257,486
4030 Concessions	360,380	373,046	371,739	355,190	381,822	332,176	368,457	344,261	358,980	368,465	354,499	337,041	4,306,056
4040 Bad Debt	199,459	191,811	198,144	187,529	206,629	199,451	189,008	208,937	187,707	206,724	196,322	194,142	2,365,863
4050 Late Fees	294,436	328,288	305,172	292,695	303,089	304,797	329,857	333,275	307,374	335,948	293,302	305,111	3,733,342
4060 Utility Reimbursements	319,632	343,117	318,866	315,271	345,558	337,705	327,497	301,949	321,081	324,525	316,804	310,115	3,882,119
4070 Parking Income	229,603	222,583	220,918	221,787	230,280	227,314	237,912	223,877	242,129	244,411	234,553	215,464	2,750,831
4080 Application Fees	206,665	212,577	208,359	201,816	193,983	208,676	197,085	212,707	211,927	214,262	200,178	202,408	2,470,643
4090 Pet Rent	323,891	314,240	304,517	288,738	303,883	295,965	294,116	327,120	304,817	304,363	291,912	324,328	3,677,889
4100 Laundry Income	258,416	263,220	266,875	243,970	263,017	270,199	248,398	248,131	274,740	273,332	264,996	259,734	3,135,028
4110 Cable/Internet Revenue	225,655	245,007	232,894	256,836	249,926	238,996	248,120	233,526	232,208	242,220	256,833	252,241	2,914,462
4120 CAM Reimbursements	214,001	204,131	202,711	199,973	226,817	213,935	220,882	223,274	212,809	202,288	214,170	202,290	2,537,281
4130 Tax Reimbursements	185,474	186,725	172,396	189,237	167,954	187,020	173,706	189,505	168,251	177,939	178,219	184,484	2,160,910
4140 Insurance Reimbursements	271,962	291,771	291,276	274,780	274,574	263,916	280,030	279,820	271,868	285,132	269,033	294,269	3,348,431
4150 Percentage Rent	212,278	218,610	212,328	216,627	197,074	212,262	205,099	218,670	219,909	200,984	208,712	198,914	2,521,466
4160 Misc. Income	278,496	265,894	278,168	286,133	280,372	274,471	287,022	300,977	290,308	273,613	274,049	291,051	3,380,554
4170 Payroll - Management	19,812	21,068	21,068	19,417	20,466	19,125	18,885	20,341	20,051	20,735	18,823	18,824	238,616
4180 Payroll - Leasing	7,239	7,862	7,998	7,554	8,105	7,504	7,462	7,205	7,870	7,379	7,863	7,440	91,480
4190 Payroll - Maintenance	11,217	10,542	10,808	10,943	10,511	10,449	11,202	10,484	10,648	9,886	10,395	9,962	127,049
4200 Payroll Taxes & Benefits	28,704	27,521	27,290	26,652	29,527	28,444	27,867	29,127	28,758	28,778	27,384	29,605	339,657
4210 Repairs - Plumbing	48,085	48,838	44,217	44,316	45,765	45,217	50,624	48,969	46,817	46,166	48,160	50,184	567,358
4220 Repairs - HVAC	39,761	43,760	45,064	43,540	39,659	43,400	43,669	44,815	42,988	43,874	43,900	43,472	517,904
4230 Repairs - Electrical	43,087	43,273	42,480	46,225	41,971	41,981	46,784	41,582	46,801	45,938	44,924	44,377	529,423
4240 Repairs - Appliances	34,971	35,130	34,519	33,288	34,548	34,615	32,610	35,644	32,951	33,202	32,523	33,794	407,794
4250 Painting & Decorating	43,155	45,159	41,424	42,119	41,426	45,636	45,385	43,899	46,709	44,984	44,402	46,453	530,749
4260 Flooring	27,138	25,867	26,030	29,108	28,025	26,072	28,876	26,415	27,496	29,539	28,752	26,650	329,969
4270 Make-Ready / Turnover	47,860	50,450	45,441	50,594	45,029	49,027	50,651	44,642	46,581	50,193	46,309	48,916	575,692
4280 Landscaping Contract	28,805	28,925	29,813	32,676	29,056	29,565	32,889	31,052	29,054	32,135	29,349	32,151	365,469
4290 Snow Removal	23,996	23,875	23,864	23,457	23,533	22,323	22,083	22,242	22,104	21,853	21,377	22,633	273,338
4300 Janitorial	32,041	28,136	29,788	30,886	31,179	31,875	31,031	28,243	32,004	29,542	30,508	29,827	365,059
4310 Pest Control	18,784	17,950	19,986	19,795	19,629	19,066	19,387	19,927	19,555	18,776	17,572	20,019	230,447
4320 Trash Removal	32,817	35,354	35,224	35,132	33,629	34,865	36,522	37,484	35,871	36,604	34,468	36,121	424,091
4330 Elevator Contract	31,089	32,061	32,512	30,062	30,554	30,061	31,849	29,698	32,978	31,805	30,978	32,363	376,008
4340 Fire & Life Safety	4,945	5,292	5,307	5,130	5,326	5,396	5,114	5,132	5,235	5,355	4,921	5,169	62,322
4350 Security	31,869	33,949	34,634	35,477	31,565	34,986	33,747	32,037	35,516	32,156	33,124	34,691	403,752
4360 Electricity - Common	7,841	7,915	8,056	8,095	8,116	7,796	7,701	7,666	7,946	7,223	7,464	7,394	93,213
4370 Gas - Common	28,586	30,435	28,094	30,600	31,855	31,822	29,102	30,901	28,326	28,947	31,152	28,377	358,197
4380 Water & Sewer	48,244	45,106	47,367	50,375	48,764	47,908	47,805	50,996	50,862	49,543	49,101	46,670	582,743
4390 Telephone/Internet	29,722	30,988	30,432	29,688	30,695	32,720	32,682	30,181	33,285	30,878	32,425	30,250	373,947
4400 Advertising	22,131	22,994	22,152	23,259	21,282	21,492	22,401	22,584	23,334	23,260	22,216	22,992	270,097
4410 Resident Events	28,838	29,572	28,462	29,542	30,021	28,438	27,885	29,272	29,063	28,718	28,697	29,463	347,973

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Income and Expense Review

Homes average 1,701 square feet with average monthly rent of $1,845. Debt service coverage ratio was 6.52x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $105,000 per home, and the in-house maintenance team handles most work orders within 17 days. Effective gross income for the trailing period was $9,000, representing a 13.9% increase over the prior year. Operating expenses totaled $306,000 or approximately 19.47 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Operating expenses totaled $18,000 or approximately 7.04 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Turn costs average $466,000 per home, and the in-house maintenance team handles most work orders within 39 days.

Management Commentary

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 39 hours. Collections for the period were 91.0% of billed charges, with bad debt of 5.9% of gross potential income. Homes average 1,701 square feet with average monthly rent of $1,845.

Collections for the period were 94.4% of billed charges, with bad debt of 6.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 4 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Financial Analysis

Operating expenses totaled $413,000 or approximately 29.26 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,701 square feet with average monthly rent of $1,845.

Operating expenses totaled $89,000 or approximately 45.65 per square foot, with real estate taxes representing the largest line item. Homes average 1,701 square feet with average monthly rent of $1,845. The going-in capitalization rate of 6.04% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.79x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Service requests are tracked through a work-order system with an average completion time of 48 hours. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $244,000 per home, and the in-house maintenance team handles most work orders within 44 days.

Collections for the period were 95.8% of billed charges, with bad debt of 5.1% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members.

Income and Expense Review

Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.31% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $189,000, representing a 6.7% increase over the prior year. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Turn costs average $245,000 per home, and the in-house maintenance team handles most work orders within 9 days.

Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Debt service coverage ratio was 7.47x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $264,000, representing a 6.0% increase over the prior year.

Property Operations

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4350 Security	51,271	45,093	46,598	44,913	50,459	49,374	51,338	50,571	47,749	50,835	49,299	46,703	584,202
4360 Electricity - Common	11,235	11,786	11,438	12,183	11,456	11,598	12,196	11,881	11,339	10,901	10,981	11,812	138,806
4370 Gas - Common	51,333	45,915	47,934	50,337	46,960	45,403	47,038	50,083	51,435	45,301	45,629	49,569	576,938
4380 Water & Sewer	41,492	40,885	37,715	41,608	40,567	41,106	39,197	38,153	40,380	41,351	42,535	42,663	487,652
4390 Telephone/Internet	38,006	37,976	39,137	43,367	39,673	38,806	43,031	42,331	40,111	39,701	42,591	42,111	486,840
4400 Advertising	45,877	46,200	41,128	42,526	40,875	45,155	42,847	41,493	40,880	41,273	44,810	45,459	518,523
4410 Resident Events	29,374	29,685	30,591	30,247	30,740	29,967	31,154	29,328	28,858	30,435	28,588	30,309	359,275
4420 Office Supplies	12,530	12,303	11,457	12,047	11,249	11,595	12,380	11,145	11,765	11,665	11,567	12,036	141,740
4430 Legal & Professional	41,670	40,483	38,146	40,601	42,131	41,263	41,922	40,462	41,034	42,723	43,777	40,257	494,470
4440 Accounting & Audit	35,377	33,973	33,265	34,086	34,693	35,660	33,017	34,752	31,996	34,860	36,352	33,690	411,720
4450 Licenses & Permits	34,871	34,416	33,901	33,565	34,280	33,654	32,572	33,906	33,212	32,026	32,041	32,381	400,824
4460 Management Fee	49,382	47,474	50,308	49,182	48,034	51,579	48,311	46,580	50,384	52,401	47,101	50,881	591,616
4470 Property Insurance	47,390	48,555	49,924	47,957	46,819	46,534	47,286	45,938	48,203	46,927	46,174	45,568	567,276
4480 Real Estate Taxes	45,956	44,876	43,940	44,832	45,793	47,514	43,094	46,997	46,732	43,790	47,928	45,763	547,215
4490 Asset Management Fee	30,705	28,570	28,381	29,194	27,259	30,802	28,956	27,384	29,533	30,805	30,477	29,293	351,360
4500 Replacement Reserves	36,747	38,375	36,448	37,500	37,560	36,469	34,000	38,532	33,837	38,087	37,019	37,025	441,598
4510 Roof Repairs	10,282	9,925	9,731	10,315	9,111	9,589	9,198	9,324	9,959	9,432	9,894	10,383	117,143
4520 Parking Lot Repairs	34,501	36,784	36,068	36,299	34,199	37,593	35,901	36,613	35,635	33,888	37,607	35,595	430,683
4530 Signage	25,958	25,623	22,854	23,790	24,452	25,751	25,927	23,430	22,611	25,014	23,172	25,765	294,347
4540 Tenant Improvements	35,423	39,638	38,174	39,387	34,830	37,041	39,023	39,938	36,640	36,058	38,926	35,475	450,552
4550 Leasing Commissions	35,821	36,057	38,470	36,104	38,022	40,233	39,622	36,395	39,890	40,525	38,656	40,598	460,393
4000 Gross Potential Rent	403,051	419,759	416,769	447,915	458,240	406,323	412,244	459,317	410,191	410,803	406,420	420,549	5,071,581
4010 Loss to Lease	132,083	135,052	139,585	139,874	134,704	146,058	131,457	136,239	146,244	145,012	128,345	129,093	1,643,747
4020 Vacancy Loss	229,943	251,259	245,788	235,087	256,084	255,174	229,505	235,997	231,149	238,242	235,433	247,439	2,891,099
4030 Concessions	54,428	57,629	56,594	58,449	55,693	57,017	52,914	58,588	52,853	54,922	55,409	57,735	672,231
4040 Bad Debt	141,120	147,387	139,293	145,250	151,348	140,594	140,953	142,087	137,963	134,653	143,922	151,258	1,715,829
4050 Late Fees	282,792	275,919	275,967	278,779	271,375	283,917	269,947	264,622	284,906	262,605	275,637	265,825	3,292,291
4060 Utility Reimbursements	31,609	32,916	32,889	30,346	29,925	30,545	32,480	32,918	32,413	30,637	31,278	30,184	378,140
4070 Parking Income	91,442	89,164	91,738	84,529	83,450	90,807	91,942	87,982	85,227	92,592	94,609	94,891	1,078,373
4080 Application Fees	11,643	10,660	10,505	10,497	11,201	11,899	11,843	11,768	11,920	11,546	11,479	11,711	136,671
4090 Pet Rent	232,076	221,600	214,528	210,642	209,887	222,860	224,465	206,906	235,806	230,402	212,243	208,778	2,630,191
4100 Laundry Income	124,348	127,409	119,281	130,977	131,453	131,766	124,712	134,755	130,158	120,046	128,577	126,522	1,530,004
4110 Cable/Internet Revenue	287,525	296,882	262,260	290,659	264,549	261,641	262,605	293,337	275,692	286,640	295,133	270,720	3,347,644
4120 CAM Reimbursements	242,411	240,297	247,335	240,333	221,462	224,736	215,942	247,685	238,418	231,934	245,367	229,512	2,825,431
4130 Tax Reimbursements	319,637	319,701	300,298	300,097	303,690	308,591	323,034	342,318	328,012	306,299	309,571	304,535	3,765,783
4140 Insurance Reimbursements	208,012	209,129	202,155	191,054	204,019	190,785	185,991	191,132	203,900	193,871	197,387	189,843	2,367,279
4150 Percentage Rent	252,946	248,565	243,601	252,699	248,239	252,859	237,092	234,526	235,513	248,603	243,618	257,411	2,955,671
4160 Misc. Income	208,854	201,578	195,364	207,451	194,040	207,233	209,651	192,930	213,504	210,394	193,167	195,872	2,430,039
4170 Payroll - Management	33,494	33,416	31,803	33,117	33,194	32,048	34,051	33,417	31,102	31,115	33,629	33,755	394,141
4180 Payroll - Leasing	18,000	15,858	16,210	17,729	17,032	16,678	16,489	17,387	16,238	17,585	17,897	15,701	202,803
4190 Payroll - Maintenance	19,350	19,105	19,032	17,893	18,602	18,476	19,143	17,592	18,871	17,710	18,983	19,247	224,005
4200 Payroll Taxes & Benefits	36,725	39,019	38,899	36,284	34,849	35,501	38,516	39,804	37,137	39,118	36,913	35,535	448,300
4210 Repairs - Plumbing	12,488	11,990	12,303	11,385	11,623	12,117	11,883	12,815	11,850	12,600	12,394	13,044	146,493
4220 Repairs - HVAC	11,008	11,062	12,446	12,451	12,194	11,977	10,868	12,218	11,210	12,299	11,330	11,532	140,597
4230 Repairs - Electrical	45,997	43,033	45,448	48,596	47,577	43,624	48,196	47,844	42,562	44,617	44,756	44,594	546,844

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Summary and Notes

Income and Expense Review

Debt service coverage ratio was 5.60x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.12% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $348,000 or approximately 36.61 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Turn costs average $291,000 per home, and the in-house maintenance team handles most work orders within 37 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 7.08x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.97% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 12 hours. Homes average 1,701 square feet with average monthly rent of $1,845. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $130,000 per home, and the in-house maintenance team handles most work orders within 17 days.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $342,000 per home, and the in-house maintenance team handles most work orders within 42 days. Collections for the period were 91.9% of billed charges, with bad debt of 8.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Service requests are tracked through a work-order system with an average completion time of 10 hours.

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